

MLD — Order Management System

1. Executive Summary

A Market Linked Deposit (MLD) is a structured product combining a deposit with a currency option. Principal is guaranteed if held to maturity; the return is determined by the market performance of the underlying FX.

1.1 Scope

- Product: Market Linked Deposit (One Touch / No Touch / Double No Touch and American & European style - explained in Appendix section).
- Channels: Branch / RM via OMS, CRM Microsite, D-Bank PRO (customer self-serve).
- Mandatory documents: SKU, PFE, Indicative Term Sheet, Product Highlight Sheet, Risk Profile Questionnaire, MLD Participation Form.
- Surrounding systems: CBS (Core Banking — TD creation, hold/unhold), Treasury System (tranche, dealing, fixings), RBS / Avantrade, CRM, Big Data, Reporting (OJK / LBU / Antasena).

2. MLD Tranche / Security Master

2.1 Main

Field	Type	Allowed Values	M/O	Notes
Asset Class	Dropdown	Cash and Cash Equivalent	M	
Sub-Asset	Dropdown	Market Linked Deposit	M	
Product	Dropdown	Market Linked Deposit	M	
Sub-Product	Dropdown	Market Linked Deposit	M	
Product Category	Dropdown	Market Linked Deposit	M	
Tranche ID	Auto	MLD-{YYYYMMDD}-{NNN}	M	Unique tranche identifier.
Tranche Name	Free text	e.g. MLD USD/IDR 3M One-Touch Mar-26	M	

2.2 Security Details

Field	Type	Allowed Values	M/O	Notes
Option Style	Dropdown	American / European	M	Determines observation logic.
Issuer / Calculating Agent	Auto	PT. Bank Danamon Indonesia	M	
Cut-off Time (per day in Offer Period)	Time	24h	M	Daily order cut-off during offering.
Book Building / Offering Period Start	Date	DD-MMM-YYYY	M	Start of customer subscription.
Book Building / Offering Period End	Date	DD-MMM-YYYY	M	End of customer subscription (pre-trade).
Trade Date	Date	DD-MMM-YYYY	M	Trade Date = Value Date for MLD (RFP 4.2.3.1.2).
Value Date / Placement Date	Date	DD-MMM-YYYY	M	Same as Trade Date.

Field	Type	Allowed Values	M/O	Notes
Determination Date / Fixing Date	Date	DD-MMM-YYYY	M	Fixing Date = Maturity Date (RFP 4.2.3.1.3).
Determination Time	Time	24h	M	Time at which fixing is taken.
Maturity Date / Due Date	Date	DD-MMM-YYYY	M	Same as Fixing Date.
Term of Placement (days)	Numeric	Computed = Maturity - Trade	M	Tenor.
Observation Period Start / End	Date	DD-MMM-YYYY	M	Window during which barrier is observed.
US Person Flag				

2.3 Identification

Field	Type	Allowed Values	M/O	Notes
ISIN	Alphanumeric	ISO 6166	O	Optional, kept for reference / regulatory mapping.
Bloomberg Ticker	Free text		O	For market data linkage.
Reuters RIC	Free text		O	For market data linkage.

2.4 Risk Rating

Field	Type	Allowed Values	M/O	Notes
Risk Rating	Dropdown	Conservative / Moderate / Aggressive	M	Used for suitability check vs customer risk profile.

2.5 Trading Details

Field	Type	Allowed Values	M/O	Notes
Minimum Placement (per customer)	Numeric	In Currency of Placement	M	Customer-level placement floor.
Maximum Placement Cap	Calculated	90-day customer average balance (same CCY)	M	
Minimum Collective / Book Building	Numeric	In Currency of Placement	M	Tranche viability threshold.
Maximum Tranche Size	Numeric	In Currency of Placement	O	Optional upper cap on issuance.
Early Termination Allowed	Y/N	Y / N	M	
Early Termination Window	Date Range		C	When termination can be requested.
Tranche Status	Dropdown	Draft / Open / Closed / Trading / Active / Matured /	M	Tranche lifecycle.

Field	Type	Allowed Values	M/O	Notes
		Cancelled		

2.6 Return Structure

Field	Type	Allowed Values	M/O	Notes
Currency of Placement	Dropdown	ISO 4217 (USD, IDR, EUR...)	M	Customer placement currency.
Minimum Interest Rate (% p.a.)	Numeric	0.00 - 99.99	M	Guaranteed minimum coupon.
Maximum Interest Rate (% p.a.)	Numeric	0.00 - 99.99	M	Cap if barrier outcome favourable.
Bonus / Payout (% p.a.)	Numeric	0.00 - 99.99	M	Additional yield on barrier hit (or no-hit, depending on type).
Day-Count Convention	Dropdown	ACT/360 / ACT/365 / 30/360	M	For interest accrual.
Principal Protection	Dropdown	100% at maturity / Other	M	Per RFP, principal guaranteed if held to maturity.

2.7 Underlying and Market Data

Field	Type	Allowed Values	M/O	Notes
Underlying Reference	Free text / Dropdown	CCY pair (e.g. USD/IDR), Index, Equity ticker	M	The market reference driving payoff.
Reference Spot (Initial)	Numeric	Decimal per pip precision	M	Fixed at trade date.
Upper Limit	Numeric	Decimal	M	Trigger / barrier upper level.
Lower Limit	Numeric	Decimal	M	Trigger / barrier lower level.
Data Source	Dropdown	Reuters / Bloomberg / Other	M	Authoritative source for fixings.
Observation Frequency	Dropdown	Continuous / Daily / Weekly / At fixing	M	Determines barrier check cadence.

2.8 Mandatory Documents

Field	Type	Allowed Values	M/O	Notes
SKU (Suitability)	Y/N	Required	M	Customer must hold valid SKU.
PFE (Phone Indemnity)	Y/N	Required	M	Active in Core.
Indicative & Final Termsheet	Document	PDF, digitally signed	M	Indicative during offering, Final at trade date.

Field	Type	Allowed Values	M/O	Notes
Product Highlight Sheet	Document	PDF, digitally signed	M	Customer signs at order entry.
Risk Profile Questionnaire	Document	PDF, digitally signed	M	Within validity window.
MLD Participation Form	Document	Digital signing / verification	M	Per RFP §4.2.3.1(5).

3. Termsheet & Price Master

The OMS holds two flavours of termsheet: an Indicative version published when the tranche opens (visible during offering), and a Final version locked at trade date with the actual spot, barriers, and rates. Observation fixings during the life of the trade are also stored here for payoff computation at maturity.

Field Name	Field Type	Allowed Values / Format	Mandatory	Description / Business Rule	Source / System of Record
1. TERMSHEET IDENTIFICATION					
Termsheet ID	Auto	TS-{TrancheID}-{Indicative Final}-{NNN}	M	Unique termsheet snapshot.	OMS
Tranche ID	Reference	From Security Master	M	Linkage.	Security Master
Termsheet Type	Dropdown	Indicative / Final	M	Indicative shown during offering; Final fixed at trade date.	OMS
Version	Numeric	Auto-incremented	M	Versioned per Treasury update.	OMS
2. INDICATIVE TERMS (during offering)					
Indicative Reference Spot	Numeric	Decimal per pip precision	M	Indicative spot at issuance.	Treasury
Indicative Upper / Lower Limit	Numeric	Decimal	M	Indicative barriers.	Treasury
Indicative Min Interest %	Numeric	% p.a.	M	Guaranteed coupon (indicative).	Treasury
Indicative Max Interest %	Numeric	% p.a.	M	Capped coupon (indicative).	Treasury
Indicative Bonus / Payout %	Numeric	% p.a.	M	Additional yield on barrier outcome.	Treasury
Indicative Date / Time	Datetime	DD-MMM-YYYY HH:MM	M	When the indicative was published.	OMS
Indicative Validity	Datetime	DD-MMM-YYYY HH:MM	M	Until when this indicative is shown.	Parameter
3. TRADE-DATE / FINAL TERMS					
Spot at Trade Date	Numeric	Decimal per pip precision	M	Captured at trade-date callback.	Treasury
Final Upper Limit	Numeric	Decimal	M	Locked at trade.	Treasury
Final Lower Limit	Numeric	Decimal	M	Locked at trade.	Treasury
Final Min Interest %	Numeric	% p.a.	M	Locked.	Treasury

Final Max Interest %	Numeric	% p.a.	M	Locked.	Treasury
Final Bonus / Payout %	Numeric	% p.a.	M	Locked.	Treasury
Treasury Dealing ID	Reference	From Treasury System	M	Assigned per order; appears on master blotter.	Treasury
TD Account Number	Reference	From NCBS	M	Time deposit created in Core Banking on trade.	CBS
4. OBSERVATION FIXINGS					
Fixing Date	Date	DD-MMM-YYYY	M	Each fixing data point.	OMS
Fixing Time	Time	24h	M		OMS
Fixing Spot	Numeric	Decimal	M	Spot used for barrier check.	Reuters / Bloomberg
Barrier Hit Flag (Upper / Lower)	Y/N	Y / N	M	Driven by Option Type and observation rules.	OMS
Source of Fixing	Dropdown	Reuters / Bloomberg / Manual	M	Authoritative source.	Parameter
5. PAYOFF AT MATURITY					
Outcome	Dropdown	Max Return / Min Return	M	Computed per option type & observation results.	OMS
Principal at Maturity	Calculated	Original placement	M	Always returned (capital protected).	CBS
Min Interest Payable	Calculated	Principal × Min Rate × DCC	M	Always paid.	CBS
Bonus / Payout Payable	Calculated	Principal × Bonus × DCC (if applicable)	C	Paid only when outcome triggers.	CBS
Total Credit at Maturity	Calculated	Principal + Min Interest [+ Bonus]	M	Posted to customer account.	CBS

4. End-to-End OMS Lifecycle (Wealth ↔ Treasury)

4.a Order Initiation

RM initiates order on behalf of the customer



Enters MLD Order in RM Office / App



Order validations to be performed:

1. RM certification check
2. Minimum placement amount check
3. Risk suitability check
4. CIF validation (via Core Banking System)
5. Balance availability check
6. 90-day average balance validation
7. Product offer period validation (within book building window)

8. Cut-off time validation
9. Product parameter validation:
 - Option Type (One Touch / No Touch / Double No Touch)
 - Option Style (European / American)
 - Underlying / currency
 - Min / Max interest

If everything is ok then

1. **Call to Core Banking to block funds—We do it at this stage in OMS but in RFP it mentions upon authorization by checker it should be blocked.**
2. Order gets created in OMS
3. Order status is Approved
4. Order routed to Checker

4.b Order Approval

Checker Approves/Rejects. Rejection follows the same process that we have today. Rejection reason is captured. Order goes back to the maker and he can make amends and resubmit the order.

↓

Order Status: Authorized

4.c Blotter

Orders appear in **MLD Blotter**

Aggregation Rules

1. Product / SKU
2. Currency
3. Underlying
4. Option Type
5. Option Style
6. Value / Placement Date

↓

Post Aggregation - System shows total subscription amount (bottom summary)

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If the total amount exceeds the minimum collective amount, then proceed.

Else, hard stop and the order is cancelled; funds are unblocked in Core Bank, Customer and BSM are notified.

4.d Handoff To Treasury

Post successful aggregation

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Provision to download this summary

↓

Send Aggregated Orders to Treasury

(For this we can rename Send to Bloomberg button as Send to Treasury)

4.e Receive Execution Details from Treasury

Treasury sends execution details back to Wealth OMS like

1. Deal ID
2. Final pricing / payoff structure
3. Strike / barrier / limits
4. Final coupon / participation rate

↓

Update all underlying orders' status to executed/structured. Attach deal reference to each order.

4.f Contracting

Post execution, wealth system generates the final term sheet and contract note and sends confirmation to the customer.

In core banking system, blocked funds are debited and MLD deposit / instrument account is created which implies the investment is officially **booked**

4.g Settlement

At maturity date (Fixing Date), the payoff for the MLD transaction is determined based on the predefined product conditions.

1. Treasury system determines the outcome ie
 - Treasury system evaluates the underlying performance based on:
 - Option Type (One Touch / No Touch / Double No Touch)
 - Option Style (European / American)
 - Upper / Lower limits (barriers)
 - Observation period
 - Based on evaluation, Treasury sends outcome to OMS:
 - **Condition Met (Trigger Achieved)**
 - **Condition Not Met (Trigger Not Achieved)**
2. OMS receives outcome and applies predefined payoff logic from product master:
 - If Condition Met: Apply Maximum / Bonus Interest Rate
 - Else: Apply Minimum Interest Rate (or Principal only)
3. Core bank system processes the final settlement
 - If Condition Met: CBS credits: **Principal + Bonus / Maximum Interest**

Example:

- Investment: ₹10,00,000
- Maximum Interest Rate: 10%

Maturity Amount: ₹10,00,000 + ₹1,00,000 = **₹11,00,000**

- If Condition Not Met: CBS credits: **Principal + Minimum Interest (if applicable)**
OR
- **Principal only (if no minimum defined)**

Example 1 (with minimum return):

- Investment: ₹10,00,000
- Minimum Interest Rate: 2%

→ Maturity Amount: ₹10,00,000 + ₹20,000 = **₹10,20,000**

Example 2 (no minimum return):

- Investment: ₹10,00,000

→ Maturity Amount: **₹10,00,000 (Principal only)**

4. Post-settlement actions

- CBS credits amount to customer account
- OMS updates order status to:
 - **Matured → Settled**
- System generates:
 - Maturity confirmation
 - Final payout details
- Notification sent to:
 - Customer
 - RM / Branch

5. OMS Order Capture: Field Level Details

5.1 Fields

Refer to Order Capture sheet in excel

5.2 Key Field Validations

Refer to Validations sheet in excel

Appendix

1. Excel

<https://docs.google.com/spreadsheets/d/1NV-vqoBc8ND72TMc4jA7lx15B2RjLCqtbh6b81oFUcw/edit?gid=1541141179#gid=1541141179>

2. Swimlane Diagram

3. Glossary

a. One Touch

Pays out **as soon as a predefined level is touched** (even once)

You set a **barrier level** and if market **touches it anytime** during tenure → payout is triggered

- Index level: 20,000
- Barrier: 22,000

If index hits 22,000 even once → payout happens

b. No Touch

Pays out **only if the barrier is NEVER touched**. If market **never crosses the barrier** → payout is triggered, whereas if it's touched even once → no payout (or lower payoff)

- Index: 20,000
- Barrier: 18,000

If index never falls to 18,000 → payout happens

c. Double No-Touch

Pays out **only if price stays within a range (between two barriers)**. Two barriers: Upper barrier and Lower barrier. If price **never touches either** → payout happens

- Index: 20,000
- Lower barrier: 18,000
- Upper barrier: 22,000

If index stays within 18,000–22,000 → payout happens

d. European Option

Payoff depends on **the final level only, i.e., the index level is checked only on the maturity day and not interim**.

Example

- If Nifty > 20,000 at maturity → 10% return
- Else → 0%

e. American Option

There is continuous monitoring and payoff can happen anytime during the year

Example

- If Nifty **ever falls below 16,000** → payoff is cancelled